

Do discounts drive basket size?

A luxury fragrance brand | Abdurrahman

266

discounted orders

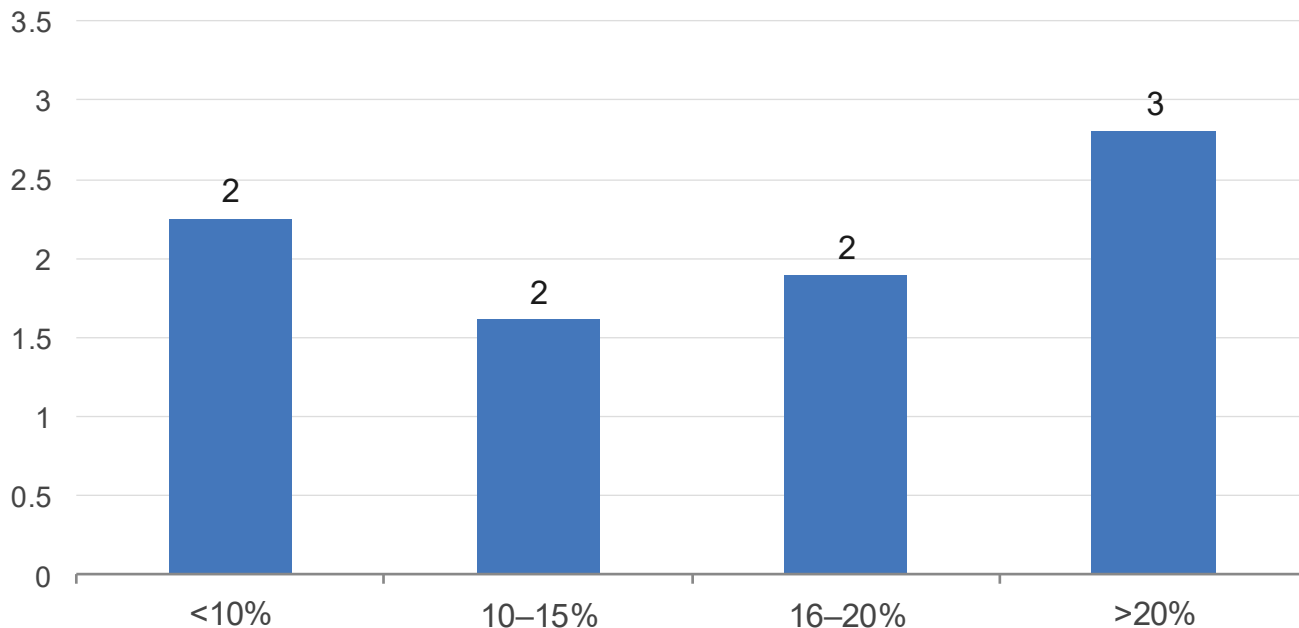
15.9%

avg discount depth

1.93

avg basket size (items)

Average basket size by discount tier

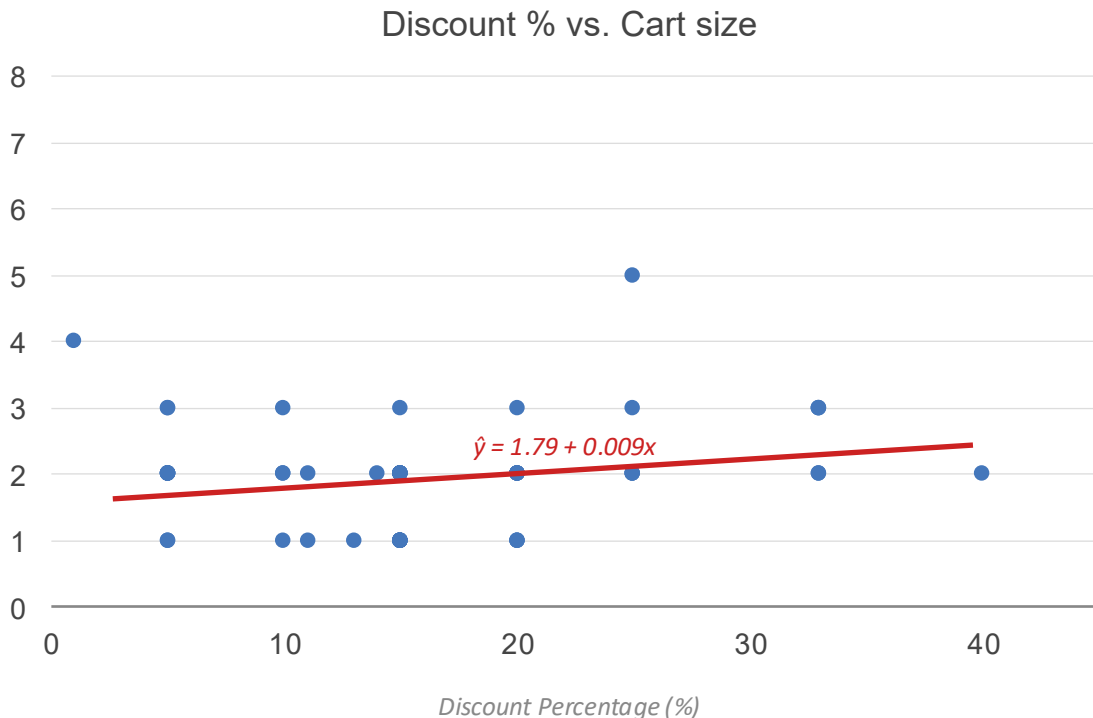


> 266 discounted orders | avg discount 15.9% | avg basket 1.93 items

> basket size = number of items per order

Discount depth does not predict basket size

$$\hat{y} = 1.79 + 0.009 \times \text{discount\%} \quad | \quad p = 0.507 \quad | \quad \text{Abdurrahman}$$



p = 0.507

*probability of this slope
if no true relationship exists*

A 1pp increase in discount is associated with only 0.009 additional items — effectively zero. Discounts do not drive basket size.

> OLS note: basket size is a count variable — residuals are discrete. A Poisson regression would be more technically appropriate.

> $\hat{\theta}_1 = 0.0086$, $SE = 0.013$, $t = 0.665$, $p = 0.507$, $R^2 = 0.002$, $n = 266$